



DEPARTMENT OF THE NAVY
NAVAL FACILITIES ENGINEERING AND EXPEDITIONARY WARFARE CENTER
1000 23RD AVENUE
PORT HUENEME CA 93043-4301

IN REPLY REFER TO:
JA-26-0014

SOLE SOURCE (INCLUDING BRAND NAME) JUSTIFICATION FOR CERTAIN COMMERCIAL PRODUCTS AND SERVICES

1. IDENTIFICATION OF AGENCY AND CONTRACTING ACTIVITY:

Naval Facilities Engineering Expeditionary Warfare Center (NAVFAC EXWC) proposes to award a sole-source contract to Grid 20/20, Inc., under simplified procedures for certain commercial products and services.

2. NATURE/DESCRIPTION OF CONTRACT ACTION:

This is a sole source justification request to purchase Grid 20/20 brand name product in support of Advanced Transformer Infrastructure. The contract will be *firm-fixed price*.

3. DESCRIPTION OF REQUIRED SUPPLIES/SERVICES:

This requirement is for annual software, monitoring, and technical support services of up to 1,610 devices to support Advanced Transformer Infrastructure (ATI) and Gridwire Fire-Spy hardware at Marine Corps Base Camp Pendleton. The contractor, Grid /2020, Inc., will provide data collections and monitoring services through its ATI Head-End Software Solutions (HESS).

Key services include:

- Data Collection, Analytics, and Transformer Communications: Provide continuous data collection, monitoring, and real-time data transfer every 15 minutes to identify faults and enable predictive maintenance.
- Notifications and SaaS Services: Provide automated outage/restoration notifications, automated alerts, and load & voltage heat maps via the ATI GRID watchdog SaaS.
- FedRAMP Cybersecurity Services: Provide and maintain all services and compliance for FedRAMP at DoD Impact Level (IL) 4, including the annual 3rd Party Assessment Organization (3PAO) audit.
- Technical Support: Provide onsite and virtual technical support.

The NAICS for this procurement is 517112- Wireless Telecommunications Carriers (except Satellite), and the Product Service Code is DG11- IT and Telecom—Network: Satellite Communications and Telecom Access Services. A firm-fixed price (FFP) contract is anticipated with a total duration of five (5) years. The total estimated value is [REDACTED]

4. IDENTIFICATION OF THE STATUTORY AUTHORITY PERMITTING OTHER THAN FULL AND OPEN COMPETITION:

The statutory authority permitting other than full and open competition is 41 U.S.C 1901 Simplified Acquisition Procedures Authority as provided in Federal Acquisition Authority (FAR) Part 12.102.

5. DEMONSTRATION THAT THE PROPOSED CONTRACTOR'S UNIQUE QUALIFICATIONS OR NATURE OF THE ACTION REQUIRES USE OF THE AUTHORITY CITED:

The use of the cited authority is required because Grid 20/20, Inc. is the only responsible source capable of providing the required commercial services that will satisfy the agency's needs. This determination is based on the following unique qualifications and circumstances:

1. **Proprietary Ownership of Existing Infrastructure:** The Government has already procured and installed a fleet of up to 1,610 Advanced Transformer Infrastructure (ATI) and Gridwire Fire-Spy hardware devices at MCB Camp Pendleton. This hardware is proprietary to Grid 20/20, Inc. The required services, including data monitoring, firmware upgrades, and analytics, are designed to integrate exclusively with this pre-existing, proprietary hardware. No other vendor possesses the intellectual property, software, or capability to service this specific system.
2. **Mandatory FedRamp IL4 Cybersecurity Certification:** A critical requirement for this service is the ability to operate securely on a DoD network. The contractor must provide a service that is FedRamp certified to DoD Impact Level (IL) 4. As confirmed by market research, Grid 20/20, Inc. is the only company that possesses the FedRamp IL4 certification for this specific brand and type of service. Competitors such as Gridware and Ubique lack this mandatory certification and are therefore technically unacceptable.
3. **Prevention of Unacceptable Costs and Delays:** As the Government already owns the Grid 20/20 hardware, engaging any other vendor would require complete removal and replacement of the entire system. This would lead to a substantial duplication of costs already invested by the Government and would cause unacceptable operational delays, creating a gap in critical grid monitoring and wildfire prevention capabilities at the installation.

In summary, the combination of the proprietary, in-place hardware, the integrated nature of the required services, and the mandatory, exclusive FedRamp IL4 certification makes Grid 20/20, Inc. the only source capable of fulfilling this requirement without causing unacceptable delays and a duplication of costs to the Government.

6. DESCRIPTION OF EFFORTS MADE TO ENSURE THAT OFFERS ARE SOLICITED FROM AS MANY POTENTIAL SOURCES AS IS PRACTICABLE, INCLUDING WHETHER A NOTICE WAS OR WILL BE PUBLICIZED AS

REQUIRED BY FAR SUBPART 5.2 AND, IF NOT, WHICH EXCEPTION UNDER FAR 5.202 APPLIES:

The project manager from MCB Camp Pendleton conducted market research (detailed in Section 8) and validated by the Contracting Officer to identify all potential sources capable of providing the required services for the Government's existing Grid 20/20 hardware. This research included identifying and evaluating companies in the grid monitoring industry, such as Gridware and Ubique. This effort ensured that the decision to pursue a sole source was based on a thorough understanding of the current market landscape.

The analysis concluded that no other source could meet the Government's minimum needs due to the proprietary nature of the hardware and the mandatory FedRamp IL4 cybersecurity certification, which only Grid 20/20, Inc. possesses for this system.

In accordance with FAR 5.201(a), the Government intends to synopsise the requirement on SAM.gov.

7. DETERMINATION BY THE CONTRACTING OFFICER THAT THE ANTICIPATED COST TO THE GOVERNMENT WILL BE FAIR AND REASONABLE.

The Contracting Officer will conduct the appropriate price and cost analyses to determine if the proposed total cost to the Government is fair and reasonable, including using published price lists, catalogs, or similar commercial items in accordance with FAR 15.404-1.

8. DESCRIPTION OF THE MARKET RESEARCH CONDUCTED AND THE RESULTS OR A STATEMENT OF THE REASON MARKET RESEARCH WAS NOT CONDUCTED.

Market research was conducted to identify sources capable of providing the required annual services for the existing Grid 20/20 hardware. The research, documented in the "Market Research Report for Grid 20/20 Service," confirmed that this is a sole-source requirement. The research identified two other vendors, Gridware and Ubique, that offer similar products. Product data submittals from both companies were reviewed. The analysis concluded that while their services were similar, they were not equal to those of Grid 20/20. Specifically, the services from Gridware and Ubique did not provide the same level of data granularity required for the loss reduction program, energy theft detection, and outage notification.

Most importantly, and as mentioned previously, the market research concluded that Grid2020, Inc. is the only vendor whose devices are FedRamp IL4 certified, a mandatory requirement for operating on a military installation's network. As the existing hardware is already from Grid 20/20 and because only Grid 20/20 can provide the required FedRamp IL4 certified services for that hardware, Grid 20/20 is the only source capable of meeting the Government's needs.

9. ANY OTHER FACTS SUPPORTING THE USE OF OTHER THAN FULL AND OPEN COMPETITION:

Support for this justification is based on the following facts:

1. **Proprietary System and Services:** The Government has already procured and installed up to 1,610 Grid 20/20 Advanced Transformer Infrastructure (ATI) and Gridwire Fire-Spy hardware devices at MCB Camp Pendleton. The required data collection, analytics, and monitoring services are proprietary to this existing hardware and its operating software (ATI HESS). The software services, firmware upgrades, and data communications are intrinsically linked to the Grid 20/20 ecosystem. Another vendor would not be able to service the equipment.
2. **Lack of Available Technical Data Package:** The technical data, software source code, and other intellectual property required to service, operate, and maintain the Grid 20/20 system are proprietary to Grid2020, Inc. and are not available to the Government or other vendors. Therefore, a technical data package suitable for a competitive procurement cannot be developed.
3. **Significant Duplication of Cost and Schedule Delays:** Attempting to use another vendor would require the complete removal of all 1,610 existing devices and the installation of a new, uncertified system. This would result in a significant duplication of costs already invested in the Grid 20/20 hardware and would cause unacceptable delays in service, leaving the installation without critical grid monitoring and wildfire prevention capabilities. The required delivery date for services is no later than January 1, 2027, which could not be met if a new system were to be installed.

10. A LISTING OF THE SOURCES, IF ANY, THAT EXPRESSED, IN WRITING, AN INTEREST IN THE ACQUISITION:

The market research did proactively identify and review information from two other companies, Gridware and Ubique, which offer similar services. However, a review of their capabilities determined that they could not meet the Government's minimum requirements, particularly the mandatory FedRamp IL4 certification and the need for seamless integration with existing proprietary hardware. Therefore, these vendors were deemed unsuitable.

11. A STATEMENT OF ANY ACTIONS THE AGENCY WILL TAKE TO REMOVE OR OVERCOME ANY FUTURE BARRIERS TO COMPETITION:

The primary barriers identified in this justification are the proprietary nature of the existing, Government-owned hardware and the mandatory FedRamp IL4 cybersecurity certification.

To overcome these barriers in the future, the agency will monitor the FedRamp Marketplace to identify any new or competing grid monitoring solutions that achieve the mandatory DoD Impact Level 4 certification. The emergence of newly certified vendors will be a key factor in determining the follow-on system replacement.